operation that brought down the terrorists who hijacked the *Achille Lauro*.

On December 5, 1985, Bud presided over his last briefing as my national security advisor and John took over. According to my diary, the subject of our meeting that day was "our undercover effort to free our hostages held by terrorists in Lebanon. It's a complex undertaking with only a few of us in on it." Two days later, I wrote this in my diary:

> *Saturday, Dec. 7—Pearl Harbor Day*
>
> Day opened with "Rex" [our new dog, a year-old King Charles spaniel] on our bed. I then had a meeting with Don R, Cap W, Bud M, John P, George S and McMahon of CIA. This has to do with the complex plan which could return our five hostages and help some officials in Iran who want to turn that country from its present course and onto a better relationship with us. It calls for Israel selling some weapons to Iran. As they are delivered in installments by air, our hostages will be released. The weapons will go to the moderate leaders in the army who are essential if there is to be a change to a more stable government. We then sell Israel replacements for the delivered weapons. None of this is a gift. The Iranians pay cash for the weapons—so does Israel.
>
> George Shultz, Cap and Don are opposed. Congress has imposed a law on us that we can't sell Iran weapons or sell any other country weapons for resale to Iran. George also thinks this violates our policy of not paying off terrorists. I claim the weapons are for those who want to change the government of Iran and no ransom is being paid for the hostages. No direct sale would be made by us to Iran but we would be replacing the weapons sold by Israel.
>
> We're at a stalemate. Bud is flying to London where the Israelis and Iranian agents are. Britain has no